

**SENATE SUBSTITUTE FOR
HOUSE BILL NO. 4187**

A bill to amend 1967 PA 281, entitled
"Income tax act of 1967,"
by amending sections 51, 51g, and 696 (MCL 206.51, 206.51g, and
206.696), section 51 as amended and section 696 as added by 2023 PA
4 and section 51g as added by 2018 PA 588.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 51. (1) For receiving, earning, or otherwise acquiring
2 income from any source whatsoever, there is levied and imposed
3 under this part upon the taxable income of every person other than
4 a corporation a tax at the following rates in the following
5 circumstances:

6 (a) On and after October 1, 2007 and before October 1, 2012,
7 4.35%.



1 (b) Except as otherwise provided under subdivision (c), on and
2 after October 1, 2012, 4.25%.

3 (c) For each tax year beginning on and after January 1, 2023,
4 if the percentage increase in the total general fund/general
5 purpose revenue from the immediately preceding fiscal year is
6 greater than the inflation rate for the same period and the
7 inflation rate is positive, then the current rate shall be reduced
8 by an amount determined by multiplying that rate by a fraction, the
9 numerator of which is the difference between the total general
10 fund/general purpose revenue from the immediately preceding state
11 fiscal year and the capped general fund/general purpose revenue and
12 the denominator of which is the total revenue collected from this
13 part in the immediately preceding state fiscal year. For purposes
14 of this subdivision only, the state treasurer, the director of the
15 senate fiscal agency, and the director of the house fiscal agency
16 shall determine whether the total revenue distributed to general
17 fund/general purpose revenue has increased as required under this
18 subdivision based on the comprehensive annual financial report
19 prepared and published by the department of technology, management,
20 and budget in accordance with section 23 of article IX of the state
21 constitution of 1963. The state treasurer, the director of the
22 senate fiscal agency, and the director of the house fiscal agency
23 shall make the determination under this subdivision no later than
24 the date of the January 2023 revenue estimating conference
25 conducted pursuant to sections 367a through 367f of the management
26 and budget act, 1984 PA 431, MCL 18.1367a to 18.1367f, and the date
27 of each January revenue estimating conference conducted each year
28 thereafter. As used in this subdivision:

29 (i) "Capped general fund/general purpose revenue" means the



1 total general fund/general purpose revenue from the 2020-2021 state
2 fiscal year multiplied by the sum of 1 plus the product of 1.425
3 times the difference between a fraction, the numerator of which is
4 the Consumer Price Index for the state fiscal year ending in the
5 tax year prior to the tax year for which the adjustment is being
6 made and the denominator of which is the Consumer Price Index for
7 the 2020-2021 state fiscal year, and 1.

8 (ii) "Total general fund/general purpose revenue" means the
9 total general fund/general purpose revenue and other financing
10 sources as published in the comprehensive annual financial report
11 schedule of revenue and other financing sources - general fund for
12 that fiscal year plus any distribution made pursuant to section
13 51d.

14 (2) ~~Except as otherwise provided for December 1, 2018 through~~
15 ~~September 30, 2019, beginning January 1, 2000 through September 30,~~
16 ~~2023, that percentage of the gross collections before refunds from~~
17 ~~the tax levied under this section that is equal to 1.012% divided~~
18 ~~by the income tax rate levied under this section shall be deposited~~
19 ~~in the state school aid fund created in section 11 of article IX of~~
20 ~~the state constitution of 1963. For December 1, 2018 through~~
21 ~~September 30, 2019 only, that percentage of the gross collections~~
22 ~~before refunds from the tax levied under this section that is equal~~
23 ~~to 0.954% divided by the income tax rate levied under this section~~
24 ~~shall be deposited in the state school aid fund created in section~~
25 ~~11 of article IX of the state constitution of 1963. For October 1,~~
26 ~~2023 through September 30, 2024 only, that percentage of the gross~~
27 ~~collections before refunds from the tax levied under this section~~
28 ~~that is equal to 1.015% divided by the income tax rate levied under~~
29 ~~this section shall be deposited in the state school aid fund~~



~~created in section 11 of article IX of the state constitution of 1963. For October 1, 2024 through September 30, 2025 only, that percentage of the gross collections before refunds from the tax levied under this section that is equal to 1.023% divided by the income tax rate levied under this section shall be deposited in the state school aid fund created in section 11 of article IX of the state constitution of 1963. For October 1, 2025 through September 30, 2026 only, that percentage of the gross collections before refunds from the tax levied under this section that is equal to 1.033% divided by the income tax rate levied under this section shall be deposited in the state school aid fund created in section 11 of article IX of the state constitution of 1963. Beginning October 1, 2026, that percentage of the gross collections before refunds from the tax levied under this section that is equal to 1.040% divided by the income tax rate levied under this section shall be deposited in the state school aid fund created in section 11 of article IX of the state constitution of 1963.~~

(3) In addition to the distributions under subsections (2) and (4) and sections 51d, 51e, and 51f, ~~beginning October 1, 2016,~~ from the revenue collected under this section an amount equal to 3.5% of the average amount of farmland tax credits claimed under section 36109 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.36109, for the immediately preceding 3 state fiscal years shall be deposited into the agricultural preservation fund created in section 36202 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.36202.

(4) In addition to the distributions under subsections (2) and (3) and sections 51d, 51e, and 51f, ~~and subject to the limitation under this subsection, beginning with the 2018-2019 state fiscal~~



~~year and each fiscal year thereafter, from the following amounts of revenue collected under this section \$69,000,000.00 shall must be deposited into the renew Michigan fund created in section 51g each state fiscal year: . However, if, in any 1 of the 2018-2019 through the 2021-2022 state fiscal years, the minimum foundation allowance falls below the 2017-2018 minimum foundation allowance established under section 20 of the state school aid act of 1979, 1979 PA 94, MCL 388.1620, as amended by 2017 PA 108, then no money shall be deposited into the renew Michigan fund pursuant to this subsection for that fiscal year.~~

(a) For the 2026-2027 state fiscal year through the 2028-2029 state fiscal year, \$54,000,000.00.

(b) Beginning with the 2029-2030 state fiscal year and each state fiscal year thereafter, \$69,000,000.00.

(5) The department shall annualize rates provided in subsection (1) as necessary. The applicable annualized rate ~~shall~~ **must** be imposed upon the taxable income of every person other than a corporation for those tax years.

(6) The taxable income of a nonresident ~~shall must~~ be computed in the same manner that the taxable income of a resident is computed, subject to the allocation and apportionment provisions of this part.

(7) A resident beneficiary of a trust whose taxable income includes all or part of an accumulation distribution by a trust, as defined in section 665 of the internal revenue code, ~~shall be is~~ allowed a credit against the tax otherwise due under this part. The credit ~~shall must~~ be all or a proportionate part of any tax paid by the trust under this part for any preceding taxable year that would not have been payable if the trust had in fact made distribution to



1 its beneficiaries at the times and in the amounts specified in
2 section 666 of the internal revenue code. The credit ~~shall~~**must** not
3 reduce the tax otherwise due from the beneficiary to an amount less
4 than would have been due if the accumulation distribution were
5 excluded from taxable income.

6 (8) The taxable income of a resident who is required to
7 include income from a trust in the resident's federal income tax
8 return under the provisions of 26 USC 671 to 679, ~~shall~~**must**
9 include items of income and deductions from the trust in taxable
10 income to the extent required by this part with respect to property
11 owned outright.

12 (9) It is the intention of this section that the income
13 subject to tax of every person other than corporations ~~shall~~**must**
14 be computed in like manner and be the same as provided in the
15 internal revenue code subject to adjustments specifically provided
16 for in this part.

17 (10) As used in this section:

18 (a) "Consumer Price Index" means the United States Consumer
19 Price Index for all urban consumers as defined and reported by the
20 United States Department of Labor, Bureau of Labor Statistics.

21 (b) "Inflation rate" means the annual percentage change in the
22 Consumer Price Index, as determined by the department, comparing
23 the 2 most recent completed state fiscal years.

24 (c) "Person other than a corporation" means a resident or
25 nonresident individual or any of the following:

26 (i) A partner in a partnership as defined in the internal
27 revenue code.

28 (ii) A beneficiary of an estate or a trust as defined in the
29 internal revenue code.



(iii) An estate or trust as defined in the internal revenue code.

(d) "Taxable income" means taxable income as defined in this part subject to the applicable source and attribution rules contained in this part.

Sec. 51g. (1) The renew Michigan fund is created within the state treasury. The state treasurer may receive money or other assets from any source for deposit into the renew Michigan fund. The state treasurer shall direct the investment of the fund. The state treasurer shall credit to the fund interest and earnings from fund investments.

(2) Money in the renew Michigan fund at the close of the fiscal year shall remain in the fund and shall not lapse to the general fund.

(3) The department of ~~environmental quality~~ **environment, Great Lakes, and energy** shall be the administrator of the renew Michigan fund for auditing purposes.

(4) ~~Beginning with the 2018-2019 state fiscal year and each fiscal year thereafter, the~~ **The department of environment, Great Lakes, and energy** shall expend money from the renew Michigan fund, upon appropriation, only for the following purposes **as follows:**

(a) **For the 2026-2027 state fiscal year through the 2028-2029 state fiscal year, 64% of the revenue, and for each state fiscal year after 2028-2029, 65% of the revenue, shall must** be used for environmental **protection**, cleanup, and redevelopment, including, but not limited to, addressing contaminated sites and emerging issues that have known or suspected potential to cause adverse environmental or human health effects **and for brownfield redevelopment**. Criteria to determine which sites will be addressed



each year may include, but are not limited to, the following:

(i) Population risk, such as the number of people exposed, whether sensitive populations are exposed, and whether the exposure occurs in a residential setting.

(ii) Chemical risk, including the type and concentration of chemicals and the public health risk associated with the chemicals.

(iii) Economic development potential, including the number of jobs, the amount of investment, or the amount of increase in the property's value.

(b) **For the 2026-2027 state fiscal year through the 2028-2029 state fiscal year, 17% of the revenue, and for each state fiscal year after 2028-2029, 13% of the revenue, ~~shall~~ must be used for waste management, including, but not limited to, oversight of active landfills, asbestos landfill gas monitoring, addressing contamination, and department of ~~environmental quality~~ environment, Great Lakes, and energy expenditures for closure, postclosure monitoring or maintenance, or corrective action for disposal areas that have been licensed under this part.**

(c) **For the 2026-2027 state fiscal year through the 2028-2029 state fiscal year, 19% of the revenue, and for each state fiscal year after 2028-2029, 22% of the revenue, ~~shall~~ must be used for recycling, including, but not limited to, the following:**

(i) Materials management planning, including grants to counties, regional planning agencies, municipalities, and other entities responsible for preparing, implementing, and maintaining materials management plans.

(ii) Local recycling programs, including grants to local units of government and nonprofit and for-profit entities for recycling infrastructure, local recycling outreach campaigns, and other costs



1 necessary to support increased recycling.

2 (iii) Market development, including grants to local units of
3 government and nonprofit and for-profit entities for purchasing
4 equipment, research and development, or associated activities to
5 provide new or increased use of recycled materials to support the
6 development of recycling markets.

7 (5) By December 31 annually, the department shall prepare and
8 submit to the senate and house appropriations committees a report
9 detailing the amount of revenue received by and expenditures from
10 the renew Michigan fund during the prior fiscal year and the fund
11 balance at the end of the prior fiscal year.

12 Sec. 696. (1) The revitalization and placemaking fund is
13 created within the state treasury. The state treasurer may receive
14 money or other assets from any source for deposit into the
15 revitalization and placemaking fund. The state treasurer shall
16 direct the investment of the revitalization and placemaking fund.
17 ~~The~~ **Except as otherwise provided under this subsection, the** state
18 treasurer shall credit to the revitalization and placemaking fund
19 interest and earnings from fund investments. **Beginning with the**
20 **2026-2027 state fiscal year, all accrued interest and earnings from**
21 **fund investments must be credited to the general fund.**

22 (2) Money in the revitalization and placemaking fund at the
23 close of the fiscal year shall remain in the fund and shall not
24 lapse to the general fund.

25 (3) The Michigan strategic fund shall be the administrator of
26 the revitalization and placemaking fund for auditing purposes.

27 (4) Beginning with the 2022-2023 state fiscal year and each
28 state fiscal year thereafter, the Michigan strategic fund shall
29 expend money from the revitalization and placemaking fund, upon



1 appropriation, only to create and operate the revitalization and
2 placemaking grants program to invest in projects that enable
3 population and tax revenue growth through rehabilitation of vacant
4 and blighted buildings and historic structures, rehabilitation and
5 development of vacant properties, and development of permanent
6 place-based infrastructure associated with social zones and
7 traditional downtowns, outdoor dining, and place-based public
8 spaces. If grant funds are used to support residential projects,
9 those projects must comply with other program guidelines and
10 eligibility as determined by the Michigan strategic fund.

11 (5) By December 31 annually, the Michigan strategic fund shall
12 prepare and submit to the senate and house appropriations
13 committees a report detailing the amount of revenue received by and
14 expenditures from the revitalization and placemaking fund during
15 the prior state fiscal year and the revitalization and placemaking
16 fund balance at the end of the prior state fiscal year.